Cecchetti, Mohanty & Zampolli (2010) wrote after public debt jumped in the GFC. They asked whether advanced economies were on a sustainable path. Their answer had three steps.

First, they estimated how governments had behaved. Across 21 advanced economies in 1970—2008, the structural primary balance was highly persistent. It responded only slightly to higher debt, by about 1-2bps per point of debt in the short run. There was no sign of tightening when the economy improved.

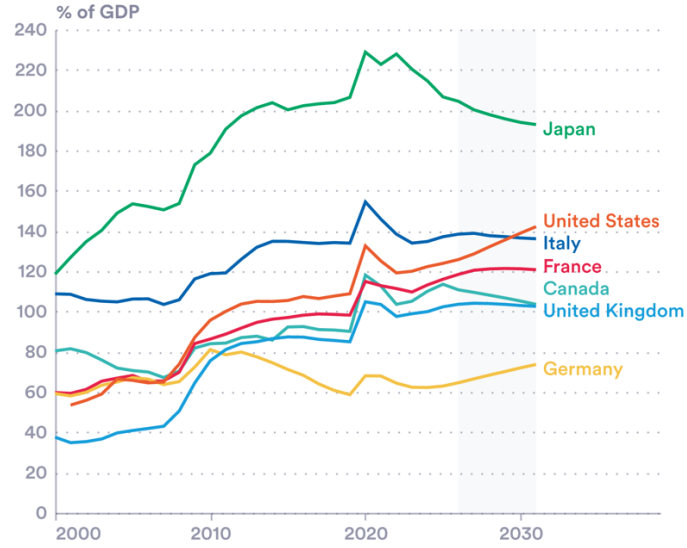
Second, they added projected pension and health spending to the outlook.

Third, they projected debt over 30 years for a dozen economies under three scenarios. The first held policy unchanged. The second improved the primary balance by 1 point of GDP a year for five years. The third did the same and frozen age-related spending as a share of GDP. They also calculated the primary balance needed to return debt to its 2007 level.

Their headline warning was that debt would rise rapidly in the next decade without a policy change. Debt would exceed 300% of GDP in Japan and 200% in the United Kingdom. It would exceed 150% in France, Italy and the United States.

We run the same exercise on current data. We start each country from its 2026 primary balance. We use the IMF's World Economic Outlook and Fiscal Monitor. We cover the G7 with the UK in focus. We project to 2050, the end of the IMF's ageing projections.

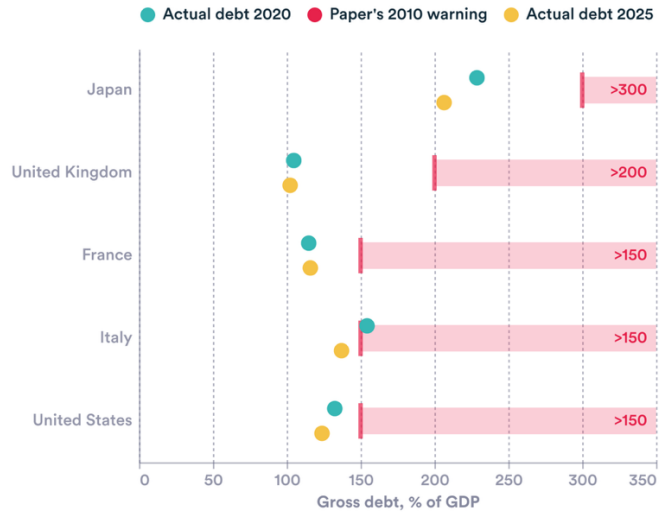
Chart 1: General government gross debt, G7, 2000-2031



Source: IMF

Debt is higher than before the financial crisis in every G7 country except Germany. The UK's ratio has more than doubled since 2007, from 43% to 102% of GDP, the largest rise in the group alongside the US. The IMF projects that the paths now diverge. Debt is flat in the UK, falling in Japan and Canada, and rising in the US.

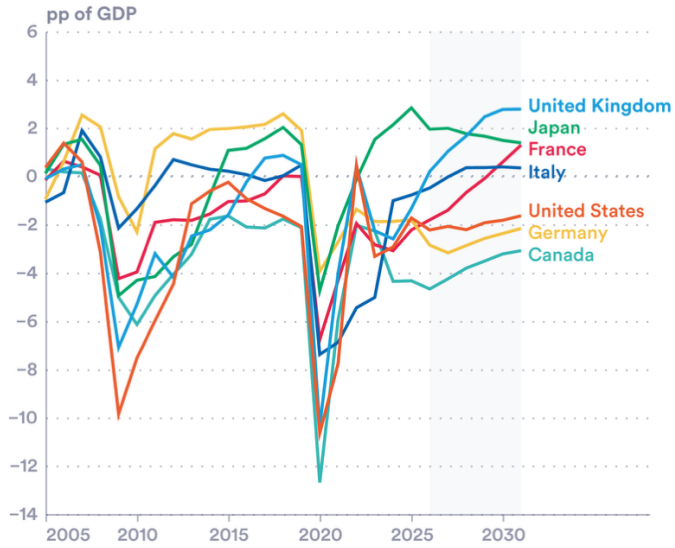
Chart 2: The 2010 BIS warning against what happened



Source: BIS

The 2010 paper warned that, with no change in policy, debt would exceed 300% of GDP in Japan, 200% in the UK and 150% in France, Italy and the US. It did not happen. UK debt was 105% in 2020 and 102% in 2025. Only Italy briefly crossed its threshold during COVID. Governments responded, so the baseline proved a warning, not a forecast.

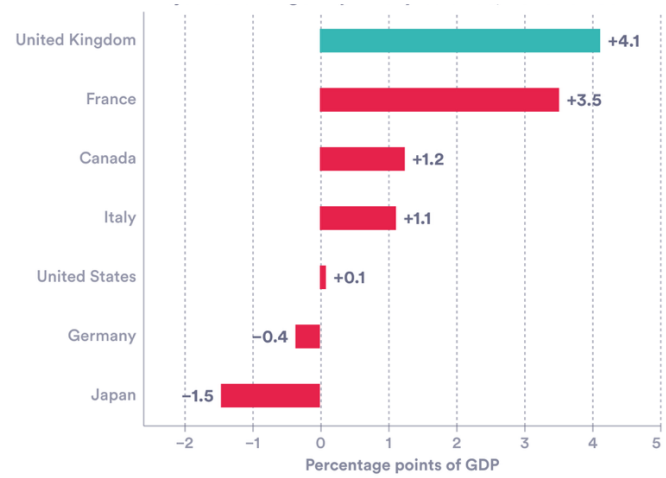
Chart 3: Primary balance relative to pre-crisis norm, G7



Source: IMF

After the GFC, governments consolidated. Germany's primary balance was back at its 2003-07 level by 2011 and the UKs by 2017. After the pandemic, only Japan had returned by 2025. The IMF baseline has the UK back by 2026 and 2.8 points of GDP above its pre-crisis level by 2031 while the US, Germany and Canada do not return.

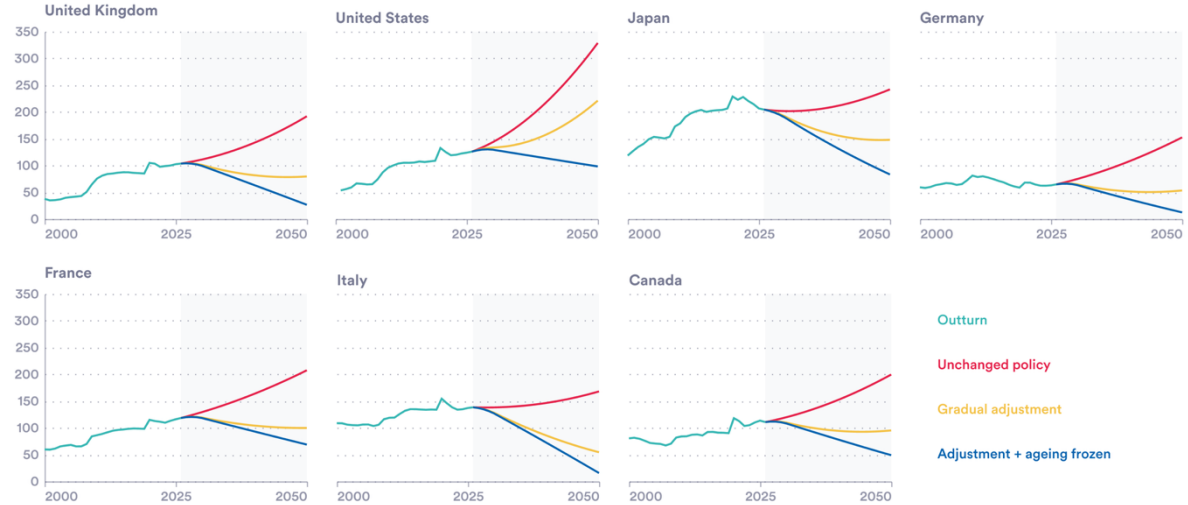
Chart 4: Projected change in primary balance, 2025 to 2031



Source: IMF

The IMF baseline assumes the largest improvement in the primary balance in the UK: 4.1 points of GDP between 2025 and 2031, from a deficit of 2.8% to a surplus of 1.4%. The US barely improves and Germany and Japan deteriorate. The UK's improvement is an assumption about delivery, not an outcome.

Chart 5: Gross debt under three scenarios, G7, % of GDP

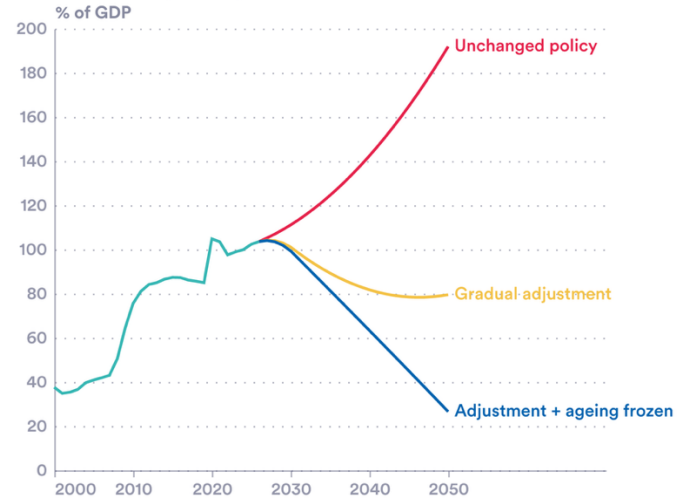


Source: IMF; BIS; author's calculations

Under unchanged policy, debt rises in every G7 country by 2050, to about 190% of GDP

in the UK and over 300% in the US. A gradual consolidation of 1 point of GDP a year for five years brings UK debt back to about 80%, but US debt still reaches 221%. Freezing age-related spending as well brings debt down in all seven countries.

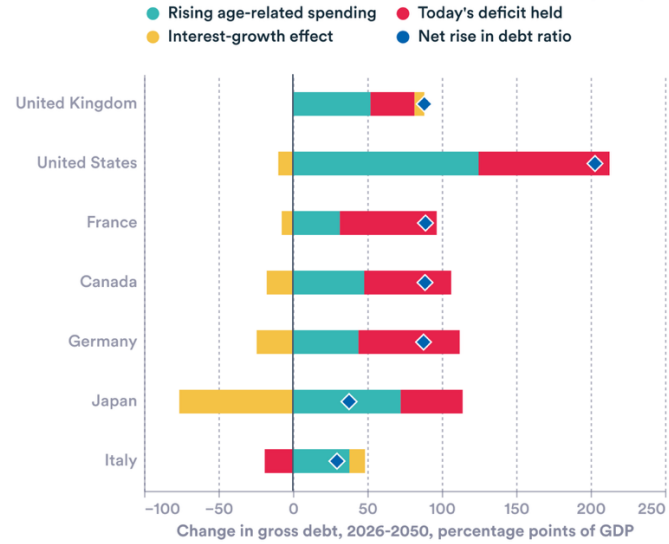
Chart 6: UKs gross debt under three scenarios



Source: IMF; BIS; author's calculations

Under unchanged policy, UK debt rises from 104% of GDP in 2026 to about 190% by 2050, passing 150% in 2042. In this scenario, about 3/5s of the rise reflects ageing costs. A gradual consolidation of 1 point of GDP a year for five years brings debt down to about 80% though it stops falling in the mid 2040s as ageing costs keep rising.

Chart 7: What drives the rise in debt under unchanged policy?

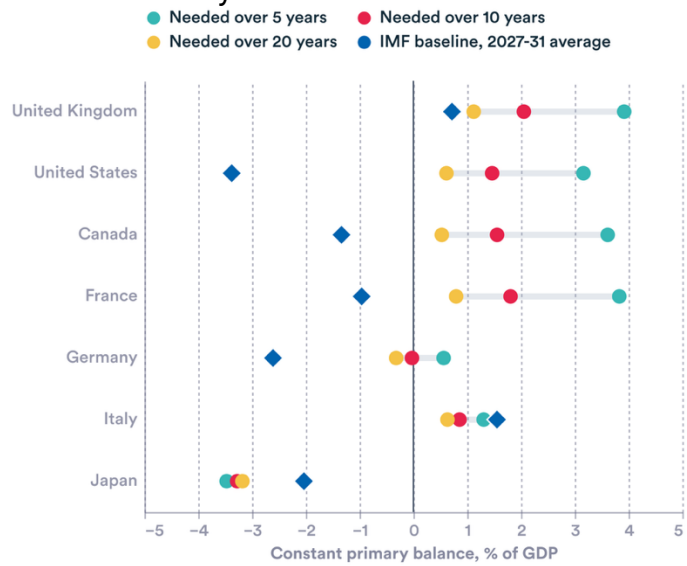


Source: IMF; BIS; author's calculations

Ageing is the largest driver of the rise in the UK and US. In France, Canada and Germany, the largest part is simply holding the 2026 primary balance for 24 years. The interest growth effect lowers debt in most countries because the IMF projects growth

above interest costs over 2026-31 and the model holds that gap to 2050.

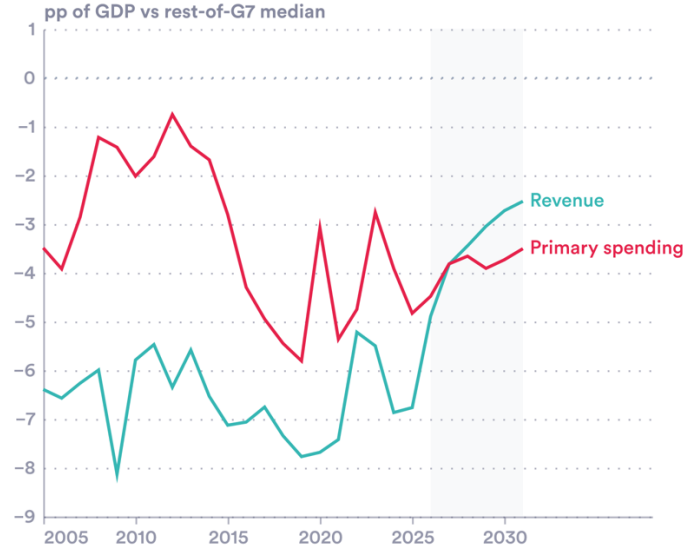
Chart 8: Primary balance needed to return to the 2019 debt level



Source: IMF; BIS; author's calculations

To return debt to its 2019 level within 10 years, the UK would need a primary surplus averaging 2.1% of GDP against 0.7% in the IMF baseline for 2027-31. Even over 20 years it would need 1.1%. The baseline also falls short in the US, Canada, France and Germany. Only Italy and Japan are on course.

Chart 9: UK relative to the rest of the G7, % of GDP

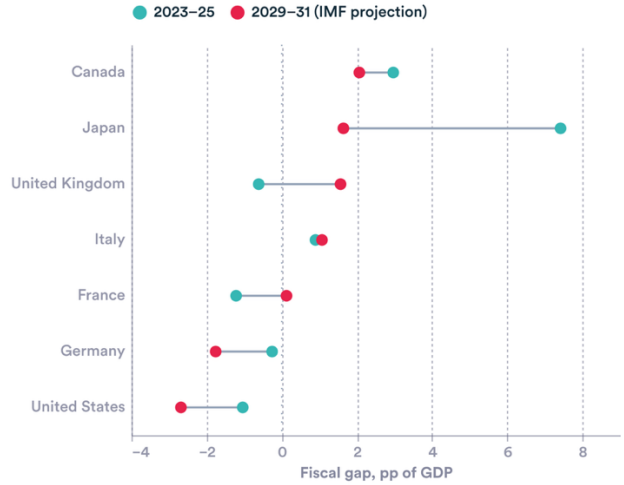


Source: IMF; BIS; author's calculations

The UK collects and spends less than the typical other G7 country. In 2025 its revenue was 6.8pp below the median of the other six and its primary spending 4.8pp below,

ranking fifth of seven on both. The IMF baseline closes most of the revenue gap by 2031 but less of the spending gap. UKs primary balance slightly below => well above.

Chart 9: Distance from stabilising debt, now vs IMF baseline



Source: IMF; BIS; author's calculations

A positive fiscal gap means debt is stabilising or falling. The UK moves from slightly below stabilisation in 2023-25 to above in 2029-31.